Quillwood Credit Partners
Origination and credit | Internal working paper

Indicative Term Sheet
Ledgerline Software

Senior secured recurring-revenue term loan with delayed-draw tranche, A$35.0M

Prepared for Ledgerline Software Pty Ltd and Halcyon Growth Partners Pty Ltd
Prepared by Quillwood Credit Partners
4 May 2026
Non-binding, subject to credit approval
Reference: QCP-TS-2026-0504-LDG
Date: 4 May 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
Confidential. Prepared for the addressee only and not to be relied on by any other party.

Borrower	Ledgerline Software Pty Ltd
ABN	80 129 997 467
Address	Level 12, 88 Clarence Street, Sydney NSW 2000
Sponsor	Halcyon Growth Partners Pty Ltd (as manager of Halcyon Growth Fund II)
Lender	Quillwood Credit Partners
Debt arranger	Corvane Capital Advisory Pty Ltd
Date and version	4 May 2026, indicative term sheet v1

Transaction details

1. Purpose and status

This term sheet sets out indicative terms on which Quillwood Credit Partners would consider providing a senior secured recurring-revenue term loan to Ledgerline Software Pty Ltd. It is non-binding, creates no obligation to lend and remains subject to credit approval, satisfactory due diligence and documentation. It draws on the information memorandum dated 9 February 2026, the financial statements dated 20 February 2026, the independent valuation dated 6 March 2026 and management accounts dated 15 April 2026.

2. Borrower summary

Ledgerline sells subscription cloud accounting software to Australian and New Zealand small and medium enterprises, with a reseller network of accounting and bookkeeping practices. As at 31 March 2026, ARR was A$41.0M (A$39.6M at 31 December 2025, up 24.0% year on year) across about 9,400 paying business accounts and 1,150 practices. Net revenue retention is 108% and gross revenue retention is 92%. Recurring revenue is about 94% of total revenue, gross margin is 79%, and last twelve months revenue is A$38.9M with adjusted EBITDA of A$6.1M.

3. Facility terms

Term	Indicative position
Facility	Senior secured recurring-revenue term loan
Limit	A$35.0M
Initial drawing	A$30.0M at financial close
Delayed-draw tranche	A$5.0M for permitted acquisitions within 18 months
Tenor	48 months
Repayment	Interest only, with 1.0% p.a. cash sweep from month 25
Cash margin	3-month BBSW plus 6.25% p.a.
Establishment fee	2.00% (A$0.70M on the limit)
Commitment fee	1.00% p.a. on undrawn amounts

Key facility terms

4. Use of proceeds

Use	A$M
Refinance existing bank term debt	9.0
Establishment fee	0.7
Payroll tuck-in, growth capital and other costs (allocation per funds flow)	20.3
Total initial drawing	**30.0**

Indicative sources and uses at close

5. Credit metrics at close

Metric	Indicative
Total debt to ARR	0.73x
Facility limit to ARR	0.85x
Total debt to adjusted EBITDA	4.9x
Pro forma net debt	A$23.2M
Enterprise value (4.0x ARR, Marlow Quay)	A$164.0M
Facility limit to enterprise value	21.3%

Quillwood on A$30.0M drawn, except where stated

6. Security and covenants

Security would comprise a first-ranking general security agreement over all present and after-acquired property of the Borrower and material subsidiaries, guarantees from those entities, and a share security over the Borrower. Halcyon Growth interests would be subordinated to the facility.

Covenant	Indicative level	Test
Minimum ARR	A$36.0M	Quarterly
Maximum total debt to ARR	1.00x	Quarterly
Minimum liquidity	A$4.0M	Monthly

Financial covenants, levels to be calibrated to the final model

7. Key risks

- Competition from larger incumbent platforms may pressure customer acquisition and retention.
- Gross revenue retention of 92% leaves limited buffer if SME insolvencies rise.
- ARR is unaudited, so definitions and treatment of annual contracts and price increases require verification.
- The top 20 practices contribute about 17% of ARR, and the product relies on third-party bank feeds and the ATO lodgement gateway.
- Integration of the payroll tuck-in carries migration, key person and synergy risk.
- Repayment at maturity depends on ARR growth, sponsor support or a sale or recapitalisation.

8. Conditions precedent

- Credit approval by Quillwood Credit Partners.
- Satisfactory financial due diligence from Kestrel Assurance Partners, including an ARR reconciliation to the general ledger.

- Legal due diligence and documentation by Tolland Reeve Lawyers.
- Satisfactory tuck-in acquisition terms and a refinancing payout letter for the A$9.0M bank debt.
- Executed security, insurance evidence and a Halcyon Growth subordination deed.

9. Acceptance

This indicative offer lapses if not accepted in writing by 29 May 2026. Acceptance confirms only the parties' intention to proceed to due diligence and does not bind either party to the facility.